

SME STATUTORY COMPLIANCE & AUDIT REPORT

Official Regulatory Dossier & Gap Analysis • Generated on 16 September 2026, 12:36 IST

Business Name:	ABC Traders	Business ID:	B005
Entity Type:	Goods (Wholesale trading)	Operating State:	Madhya Pradesh
Annual Turnover:	■ 45.00 Lakhs	Active Headcount:	4 Employee(s)
Owner / Director:	Rahul Sharma	PAN / ID:	ABCDE1234F

10 EVALUATED RULES	7 ACTIONABLE APPLIES	3 CURRENTLY EXEMPT	3 HIGH PRIORITY RISKS
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Statutory Audit Findings & Evidence

Statutory Requirement	Status	Severity	Regulatory Basis & Reason	Evidence ID
GST Registration	MANDATORY	HIGH	Turnover Rs.45L vs Rs.40L threshold for goods	GST-001
Composition Scheme Eligibility	MANDATORY	MEDIUM	Turnover Rs.45L vs Rs.150L eligibility ceiling	GST-003
Udyam Registration — Micro classification	MANDATORY	HIGH	Turnover Rs.0.45cr places business in the Micro MSME band	MSME-001
Shops & Establishments Registration	MANDATORY	HIGH	Employs 4 person(s); registration required once >=1 in commercial premises	SE-001
PF (Provident Fund) Registration	EXEMPT	LOW	Employs 4; mandatory PF required at >=20 employees	LAB-001
ESI (Employee State Insurance) Registration	EXEMPT	LOW	Employs 4; ESI registration required at >=10 employees	LAB-002
Professional Tax (PT) Registration	MANDATORY	MEDIUM	Operating in Madhya Pradesh; liable for Professional Tax (Entity enrollment & salary deduction if employing staff)	PT-003
FSSAI Food Safety License / Registration	EXEMPT	LOW	Activity does not involve food manufacturing, storage, handling, or distribution	FSSAI-001
MSME Section 43B(h) Payment Protection & Vendor Compliance	MANDATORY	ADVISORY	As a Micro/Small enterprise, buyers must pay within 45 days. Simultaneously, any dues owed to other MSME suppliers must be cleared within 45 days to avoid tax disallowance.	IT-003
Presumptive Taxation for Small Businesses (Sec 44AD)	MANDATORY	ADVISORY	Turnover of Rs.45L <= Rs.300L ceiling; eligible to declare 6%-8% presumptive income and avoid maintenance of books	IT-001

Statutory Compliance Calendar & Deadlines

Compliance Head	Statutory Due Date	Legal Reference
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GSTR-1 (Outward Supplies)	Monthly: 11th of succeeding month QRMP: 13th of quarter	Sec 37 CGST Act
GSTR-3B (Summary Tax Return)	Monthly: 20th of month QRMP: 22nd/24th of quarter	Sec 39 CGST Act
EPF (Provident Fund) Remittance	Monthly: 15th of the following month via EPFO Unified Portal	EPF Act 1952
ESIC Monthly Contribution	Monthly: 15th of following month via ESIC Portal	ESI Act 1948
Professional Tax (PT) Return	Monthly / Annual (by 10th-30th depending on state rules)	State PT Acts
Income Tax Advance Tax	15% by Jun 15, 45% by Sep 15, 75% by Dec 15, 100% by Mar 15	Sec 208-211 IT Act
MSME Vendor Dues (Sec 43B(h))	Payment within 15/45 days; all FY dues cleared before March 31	Sec 43B(h) IT Act

Statutory Penalty Matrix & Disallowance Risks

Area	Default Condition	Statutory Consequence / Penalty
GST Non-Filing	Delay in filing GSTR-3B beyond due date	■50/day late fee (■20/day for NIL) + 18% p.a. interest on net tax liability.
MSME Overdue Dues	Payment to MSE delayed past 45 days (Sec 43B(h))	Full expense disallowed from taxable income + compound interest at 3x RBI Bank Rate.
EPFO / ESIC Delay	Failure to deposit employee & employer dues by 15th	Damages from 5% to 25% p.a. under Sec 14B + 12% statutory interest under Sec 7Q.
Shops & Est. Non-Renewal	Operating without valid registration renewal	Sealing of commercial premises or spot compounding fines up to ■10,000.

Recommended Action & Remediation Roadmap

- Phase 1 (Immediate - 7 Days):** Complete Udyam MSME Registration on the official portal to secure statutory 45-day payment protection and priority banking eligibility.
- Phase 2 (15 Days):** Reconcile inward supply invoices against GSTR-2B to safeguard Input Tax Credit (ITC) and remit monthly Professional Tax / PF liabilities.
- Phase 3 (30 Days):** Audit vendor master lists to flag registered Micro and Small suppliers for compliance with Income Tax Section 43B(h).

Disclaimer: This document is generated by SME Compliance AI as an audit advisory report based on current Indian statutory provisions. Formal filings should be validated with your registered Chartered Accountant or Company Secretary.